Chapter 10 Practice Questions

Question 1

GDP = Consumption + Govt. Expenditure + Investment + Export – Import
Sprivate = Disposable income – C Spublic = T – G - TR
Disposable income: GDP – T (taxes) + TR (Transfers)
= 12000 – 100 + 0 = 1100
Sprivate = 1100 – 900 = 200
Spublic = 100 -150 – 0 = -50 -> Budget deficit

Consider the following information about an economy.

Variable	Amount
GDP	$1,200 million
C	$900 million
G	$150 million
T	$100 million
X	$80 million
IM	$140 million

Calculate:

a. Investment spending

b. Private savings

c. Budget balance

d. Net foreign investment

A. 1200 = 900 + 150 + I + 80 -140
1200 = 990 + I
I = 220

Spri

Question 2

Describe the changes in the Loanable Funds Market with respect to the developments described below.

a The government, which was previously running a budget surplus, now moves to a balanced budget.

b Feeling more optimistic about the future, consumers spend more.

c Firms become pessimistic about future business conditions and expect lower returns on investment projects.

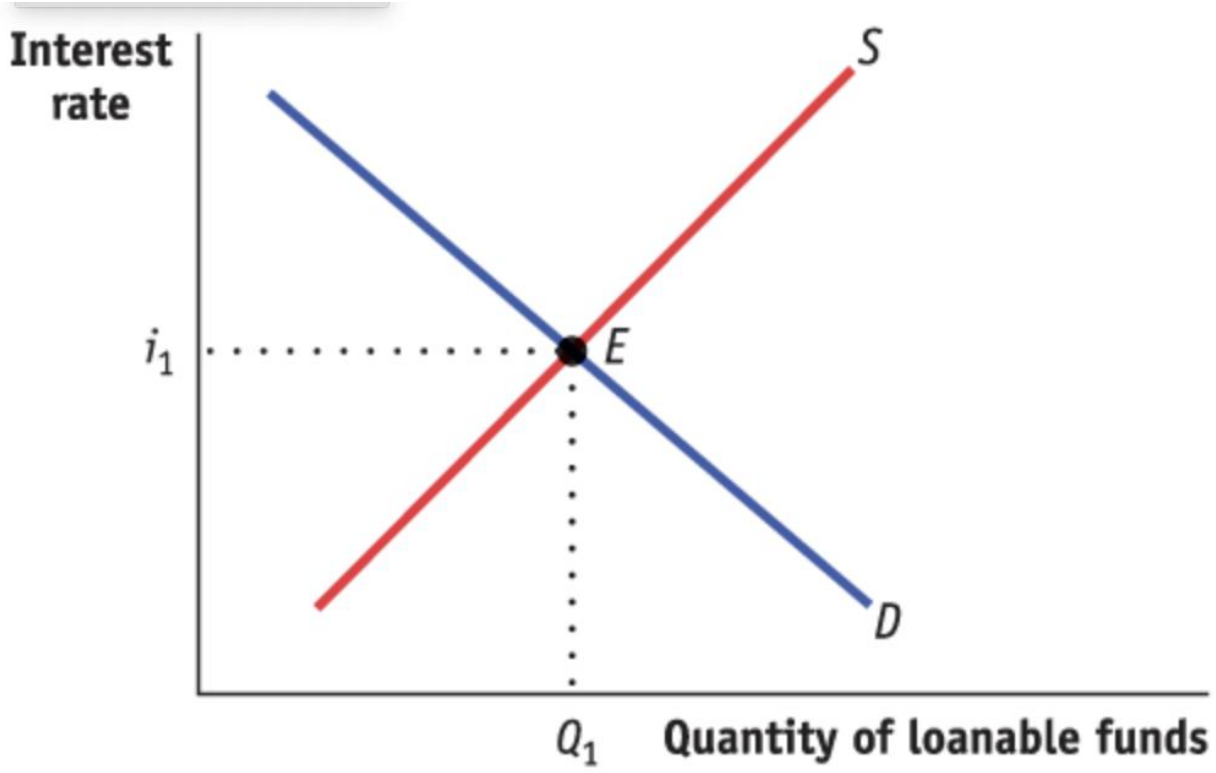
Question 3

Projects and their associated rates of return

Project	Rate of Return (%)
A	12
B	9
C	8
D	6
E	3

If the market interest rate is 7%, what would be the last project that will be funded?

Question 4

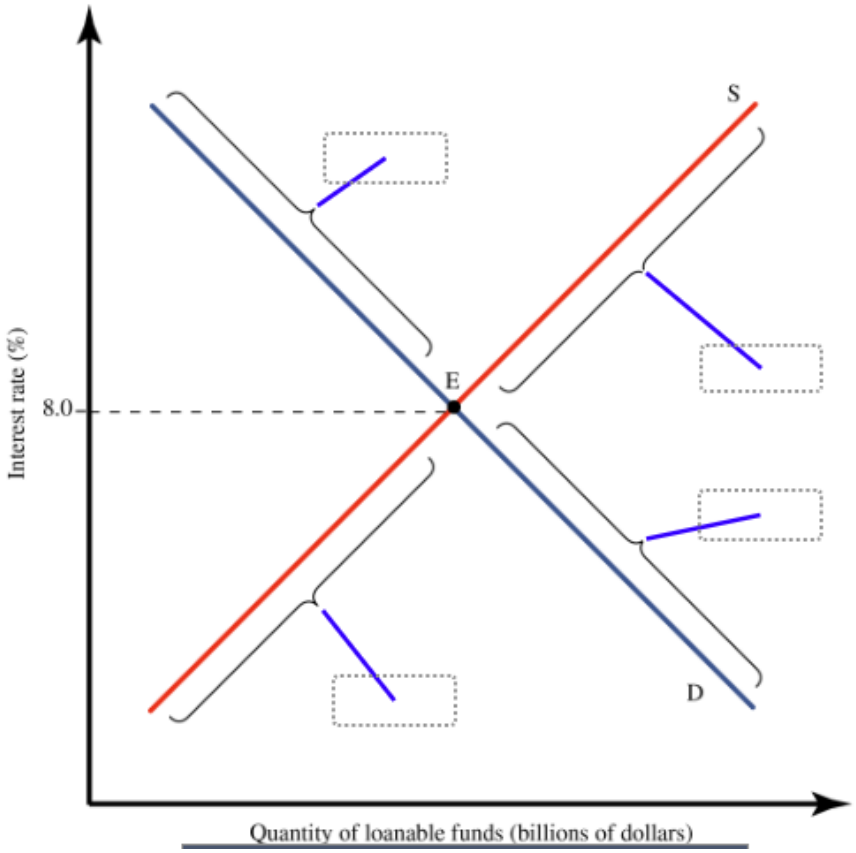


Using the figure, answer the following about government borrowing in the loanable funds market.

a Describe the changes in the Loanable Funds market due to government borrowing.

b Indicate funds borrowed by the firms before and after government borrowing.

Question 5

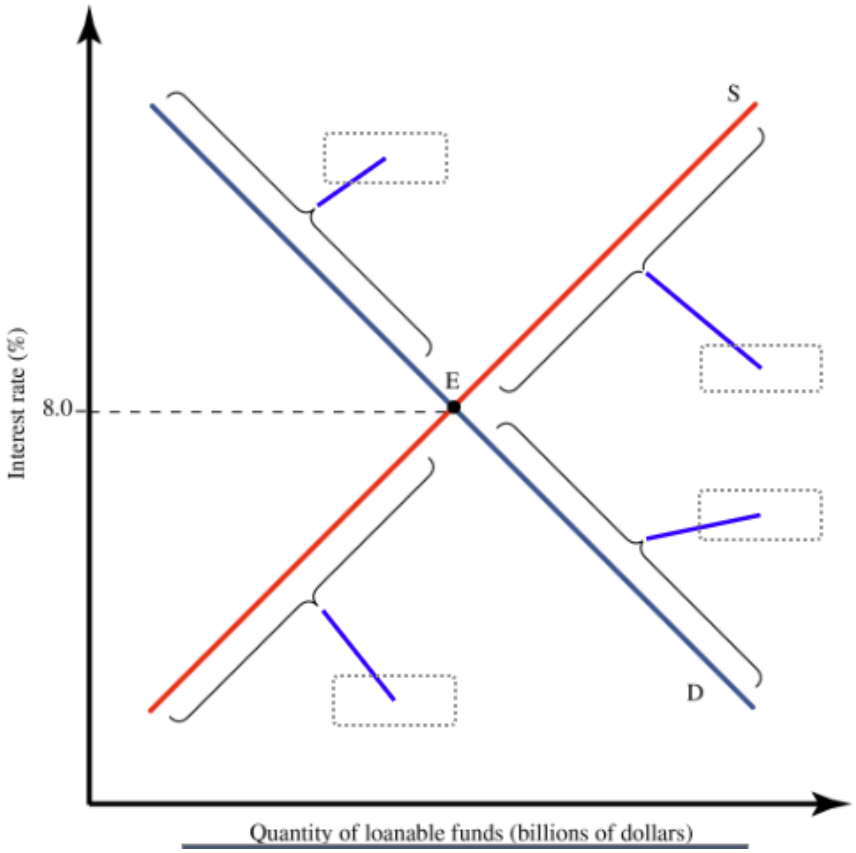


After reading the following scenario, place the correct label by the quadrant on the graph that best describes each person's position in the market for loanable funds.

Nalan has the opportunity to start a new delivery service expected to earn 13%. Because the current interest rate is lower than 13%, she borrows to finance the project.

Elif is considering expanding her bakery. She estimates the expansion would earn a return of 6%. The current market interest rate is higher than 6%, so she decides not to borrow.

Question 6



After reading the following scenario, place the correct label by the quadrant on the graph that best describes each person's position in the market for loanable funds.

Kai has extra income this year. He is willing to lend his savings as long as he earns at least 4% interest. The current interest rate is above 4%, so he chooses to lend.

Micah is willing to lend his savings only if he can earn 9% or more. The current interest rate is below 9%, so he decides not to lend.

Question 7

If the yearly nominal interest rate on a savings account is 5% and the rate of inflation over the same period is 2%, what is the real interest rate?

a 5%

b 2%

c 7%

d 3%